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Case Name: *Section 52 Fund 5, LP v. IronArc Opportunities XV, LP*
Case No.: 25CV470496

This action arises from an alleged breach of contract regarding a transaction for purchase of stocks.

Before the Court is defendant IronArc Opportunities XV, LP's ("IronArc")'s demurrer; its motion for sanctions under Code of Civil Procedure Section 128.5 ("Section 128.5); and motion for sanctions under Code of Civil Procedure 128.7 ("Section 128.7"), all of the motions are opposed.

As discussed below, the Court SUSTAINS Defendant's demurrer with 20 days' leave to amend; DENIES its motion for sanctions under Section 128.5; and GRANTS its motion for sanctions under Section 128.7.

VIII. BACKGROUND

According to the allegations of the Complaint, on May 28, 2025, IronArc and plaintiff Section 52 Fund 5 executed a Stock Transfer Notice and Agreement (the "Agreement"). (Complaint, ¶ 12.) In the Agreement, Plaintiff agreed to sell 334,058 shares of Scale AI, Inc. ("Scale AI") and Defendant agreed to buy the shares. (Complaint, ¶ 13.) The shares were comprised of 319,380 shares of Scale AI Series C Preferred Stock, 12,564 shares of Scale AI Series D Preferred Stock, and 2,114 shares of Scale AI Series E Preferred Stock. (*Ibid*.) The sale price was $26.32 per share—totaling $8,795,546.71. (Complaint, ¶ 14.) The Agreement is on a form used by the National Association of Securities Dealer Automated Quotations ("Nasdaq") private market to facilitate the transfer of private company stock among sophisticated parties. (Complaint, ¶ 15.) The parties agreed that any proposed transfer would be subject to any right of first refusal ("ROFR") applicable to the shares. (Complaint, ¶¶ 16-17.) The Agreement further provided that if Scale AI did not approve the transaction within 30 days of the agreement and the failure was not "due to any material action or inaction" by Plaintiff or Defendant then "either party may terminate" the Agreement by written notice. (Complaint, ¶ 18.)

Under the Agreement, in the event Scale AI approved the transfer or did not exercise a right of first refusal, the parties agreed to "enter into [Scale AI's] form of stock purchase and/or transfer agreement…" (Complaint, ¶ 19.) It is undisputed that Scale AI's does not have a right of first refusal over the shares at issue. (Complaint, ¶ 20.)

As a sophisticated investor, Defendant could have bargained for a clause allowing it to terminate or modify the Agreement due to what could be considered a material adverse change in circumstances or a change in the classification of the stock it was going to purchase, and it did not do so. (Complaint, ¶ 21.) After the Agreement was executed, Scale AI received a major investment from a third party, which was predicated upon the reclassification of preferred stock to common stock. (Complaint, ¶ 22.)

On June 22, 2025, Defendant purported to terminate the Agreement "effective immediately." (Complaint, ¶ 23.) In the notice, Defendant said that Scale AI had not approved the transfer as of June 22, 2025, and it claimed a right to terminate the Agreement because it provided the notice "within 30 days of the June 23, 2025 [date of the Agreement." (*Ibid*.) Defendant had no right to terminate the Agreement on this basis—it only allows for termination by Defendant where Scale AI does not approve the transfer within 30 days after the notice date and such failure is not due to any material action or inaction by Defendant. (Complaint, ¶ 24.)

By letters dated June 20 and July 3, 2025, Plaintiff exhorted Defendant to comply with the Agreement and execute the paperwork necessary to effectuate the transfer of Scale AI stock. (Complaint, ¶ 25.) Defendant has not executed any of the necessary transfer papers or paid any of the money and Plaintiff's correspondence has been met with silence. (Complaint, ¶ 26.)

Based on the foregoing, Plaintiff initiated this action with the filing of the Complaint, which asserts the following causes of action: (1) breach of contract; (2) breach of the covenant of good faith and fair dealing; (3) specific performance; and (4) declaratory relief.

IX. DEMURRER

Defendants demur to the Complaint and each cause of action on the ground that it fails to state a cause of action upon which relief can be granted. (Code Civ. Proc., § 430.10, subd. (e).)

A. Evidentiary Objections

Defendant submits evidentiary objections to the declaration of Nina Labatt which was filed in support of Plaintiff's opposition to the demurrer.

A demurrer tests only the sufficiency of the allegations and not any facts outside of the pleadings or judicially noticed materials. Therefore, the Court did not consider or rely on facts in extrinsic materials, and it does not need to rule on the objections.

B. Request for Judicial Notice

1. Defendant's Request

Defendant requests judicial notice of the following items:

(1) Scale AI's Certificate of Incorporation issued by the Delaware Secretary of State, filed on June 12 2025: Exhibit 1; and
(2) Complete Email Family of Exhibit Attached to the Complaint: Exhibit 2.

Here, the court may take judicial notice of Exhibit 1 as it is filed with the Delaware Secretary of State under Evidence Code section 452, subdivision (c). (See *Friends of Shingle Springs Interchange, Inc. v. County of El Dorado* (2011) 200 Cal.App.4th 1470, 1496, fn. 6 [courts may properly take judicial notice of certificates issued by the Secretary of State].)

However, the email exchange in Exhibit 2 contains a different agreement than the one identified in the Complaint. Additionally, it is only signed by one party. Therefore, judicial notice of it is not proper.

Thus, Defendant's request for judicial notice is GRANTED as to Exhibit 1 and DENIED as to Exhibit 2.

2. Plaintiff's Request

Plaintiff requests judicial notice of the Restated Certificate of Incorporation of Scale AI with the Delaware Secretary of State, filed on May 1, 2024: Exhibit A.

For reasons stated above, Plaintiff's request for judicial notice is GRANTED.

C. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, "[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) "It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. … Thus, … the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted (*Align Technology*).)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while "[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact." (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.) Evidentiary facts found in exhibits attached to a complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

D. Discussion

Defendant demurs to each cause of action on the ground that it fails to allege sufficient facts to state a claim. (Code Civ. Proc., § 430.10, subd. (e).)

1. First Cause of Action-Breach of Contract

Plaintiff alleges that it agreed to sell, and Defendant agreed to buy 334,058 shares of Scale AI at $26.32 per share—totaling $8,795,546.71. (Complaint, ¶¶ 27-29.) Defendant breached the Agreement which caused harm to Plaintiff. (Complaint, ¶ 30.)

To state a breach of contract cause of action, a plaintiff must allege: 1) the existence of a (valid) contract; 2) Plaintiff's performance of his or her responsibilities under the contract or excuse for nonperformance; 3) Defendant's breach; and 4) damage to Plaintiff resulting from that breach. (See *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 228.) "Under Delaware law, the elements of a breach of contract claims are (i) a contractual obligation, (ii) a breach of that obligation by the contractual party, and (iii) causally related harm to the counterparty." (*JER Hudson GP XXI LLC v. DLE Investors, LP* (Del. Ch. 2022) 275 A.3d 755, 800.)[1]

The Agreement provides as follows:

> The parties acknowledge and agree that this proposed transfer of the Company shares is subject to the Company's customary transfer terms and transfer restrictions, including but not limited to, any applicable Company right of first refusal ("ROFR"), and that this STNA constitutes an offer to sell the abovementioned shares to other Company or one or more of the Company's assignees pursuant to the Company's ROFR at the Sale Price set forth above.
>
> THE PARTIES AGREE THAT THIS STNA CONSTITUTES A BINDING COMMITTEMENT TO TRANSFER THE ABOVE MENTIONED SHARES IF THE PROPOSED TRANSFER IS EFFECTIVELY APPROVED BY THE COMPANY, INCLUDING VIA THE COMPANY'S WRITTEN OR ELECTRONIC APPROVAL (WHETHER TO NPM (DEFINED BELOW) OR OTHERWISE), OR FAILURE TO TIMELY EXERCISE ANY APPLICABLE ROFR. Without limiting any other rights or remedies available to NPM Securities, LLC (or its affiliate(s)) ("NPM") or any other party hereto fails to timely fulfill it obligations under this STNA and complete the closing of the transaction, such breaching party will be liable to the agreed fee payable by such party to NPM for the transaction, due within thirty (30) days of invoice by NPM, and NPM shall be entitled to directly enforce this clause as an intended beneficiary.

(Complaint, Exh. A, p. 2 [emphasis original].)

Defendant argues the Complaint does not state a breach of contract because an obligation that never ripened due to non-occurrence of conditions precedent cannot give rise to a breach. (Memorandum of Points and Authorities ("MPA"), p. 12:9-13.) In opposition, Plaintiff argues that the Agreement does not allow unilateral termination, Defendant prevented the satisfaction of a condition precedent, and it stands ready and willing to perform the Agreement. (Plaintiff's Opposition ("Opp."), p. 4: 11-16.)

Under Delaware law, the proper interpretation of language in a contract is a question of law, therefore the meaning of contractual language may be determined on a motion regarding the sufficiency of the allegations. (See *OSI Systems, Inc. v. Instrumentarium Corp.* (Del. Ch. 2006) 892 A.2d 1086, 1090.) When the language of a contract is plain and unambiguous, binding effect should be given to its evident meaning. (See *Rhone-Poulenc Basic Chems. Co. v. Am. Motorists Ins. Co.* (Del. 1992) 616 A.2d 1192, 1195.)

Here, the Agreement is silent as to conversion of the stock. However, with regard to termination, the Agreement provides, "Notwithstanding the foregoing, *if the*

[1] The Agreement states it "will be governed by the laws of the State of Delaware without regard to any conflicts of law principles." (Complaint, Exh. A, p. 2.)

Company has not approved the transfer (and assuming the failure by the Company to approve such transaction is not due to any material action or inaction by the Proposed Buyer or Holder), *then within thirty (30) calendar days from the date of this STNA,* ***either party may terminate*** this STNA by written notice to the other party and NPM, and *such termination will not be deemed as a breach of this STNA*. (Complaint, Exh. A, p. 2 [emphasis added].)

The Delaware Chancery Court has explained that "where the parties have created a condition precedent, the occurrence of that condition is necessary to give rise to the other party's duty to perform; if the condition does not occur, the duty never arises. A condition subsequent is an event that discharges a party from a preexisting duty to perform immediately; the occurrence of the condition extinguishes that duty." (*D.R. Horton, Inc. v. Bunting MacKs LLC* (2024 Del. Ch. LEXIS 266 at * 14, fn. 5.)

Here, the Agreement explicitly states that it would constitute a *binding commitment to transfer the above mentioned shares* ***if the proposed transfer [was] effectively approved by the company…*** " (See Complaint, Exh. A, p. 2 [emphasis added].) Therefore, effective approval by Scale AI or a failure to timely exercise its ROFR was required in order for the Agreement to constitute a binding commitment to transfer the subject shares. (See *Shilling v. Shilling* (Del. 2024) 332 A.3d 453, 466 (*Shilling*) ["The use of terms like 'if,' 'provided that,' 'on condition that,' or some other phrase that conditions performance" usually connotate "an intent for a condition rather than a promise."] (*Shilling*).)

Here, there are no allegations that Scale AI approved the transfer or declined to timely exercise its ROFR. Therefore, the termination provision could not be a condition subsequent in this instance because there was no preexisting duty that could have been discharged in the absence of an approval by Scale AI or a refusal to exercise its ROFR.

The Court is not persuaded by Plaintiff attempts to read a requirement that Scale AI reject the transaction before the termination rights vested because the plain language of the Agreement expressly identifies "approval" or "refusal to exercise its ROFR" as conduct by Scale AI. Therefore, the Agreement's silence on rejection of the transaction as conduct required by Scale AI suggests that it was not necessary in order the termination provision to be triggered.

Based on the foregoing, it appears Plaintiff does not allege sufficient facts to establish the occurrence of a condition precedent. As a result, it cannot allege sufficient facts to allege a breach. Thus, Defendant's demurrer to Plaintiff's first cause of action is SUSTAINED with 20 days' leave to amend.

2. Second Cause of Action-Breach of the Covenant of Good Faith and Fair Dealing

Plaintiff alleges Defendant's refusal to execute documents which may have been required to effectuate a transfer of the Scale AI's stock that was the subject matter of the Agreement breached the covenant of good faith and faith dealing and damaged Plaintiff. (Complain, ¶¶ 31-33.)

> "The implied covenant is inherent in all contracts" and ensures that parties do not "frustrat[e] the fruits of the bargain" by acting "arbitrarily or unreasonably." The covenant of good faith and fair dealing "embodies the law's expectation that 'each party to a contract will act with good faith toward the other with respect to the subject matter of the contract.'" The covenant also encompasses "the principle of contract construction that 'if one party is given discretion in determining whether [a] condition in fact has occurred[,] that party must use good faith in making that determination.'"

(*Baldwin v. New Wood Res. LLC* (Del. 2022) 283 A.3d 1099, 1116; footnote/ citations omitted.)

A claim for breach of the implied covenant of good faith and fair dealing requires: (1) a specific implied contractual obligation; (2) bad faith breach of that obligation; and (3) resulting damage. (*Cygnus Opportunity Fund, LLC v. Washington Prime Group, LLC* (Del. Ch. 2023) 302 A.3d 430, 458.) Under Delaware law, a breach of the implied covenant claim is limited in scope and is intended solely to fill gaps in a contract's provisions. (See *Oxbow Carbon & Minerals Holding, Inc. v. Crestview-Oxbow Acquisition, LLC* (Del. 2019) 202 A.3d 482, 507-508 (*Oxbow Carbon & Mineral Holdings*).) "As such, the implied covenant does not apply when the contract addresses the conduct at issue, but only when the contract is truly silent concerning the matter at hand. Even where the contract is silent, [a]n interpreting court cannot use an implied covenant to re-write the agreement between the parties …." (*Id.* at p. 507.)

Plaintiff contends this claims as a "gap-filler" for conduct not addressed by the Agreement on the basis that it would be "too obvious." (Opp., p. 10:9-17.) However, the Agreement states, "in the event that the Company approves the transfer or declines to exercise its ROFR, the parties agree that they *shall enter into the Company's form of stock purchase and/or transfer agreement*…" (Complaint, Exh. A, p. 2.) Therefore, the Agreement expressly addressed the execution of documentation in order to effectuate the transfer. As a result, this cause of action cannot be predicated on this basis. (See *Oxbow Carbon & Mineral Holdings, supra,* 202 A.3d at p. 507 ["the implied covenant does not apple when the contract addresses the conduct at issue, but only when the contract is truly silent concerning the matter at hand."].)

Thus, Defendant's demurrer to Plaintiff's second cause of action is SUSTAINED with 20 days' leave to amend.

3. Third Cause of Action-Specific Performance

Plaintiff alleges that the stock at issue is not publicly traded, it does not trade in an efficient or liquid market—it is unique. (Complaint, ¶ 35.) Plaintiff stands willing and able to perform pursuant to the Agreement, which Defendant breached. (Complaint, ¶¶ 36-37.)

Specific performance is a form of relief and thus it needs to be supported by an underlying cause of action. (See *Addy v. Piedmonte* (Del. Ch. Mar. 18 2009) 2009 Del.Ch. LEXIS 38 at * 23 (*Addy*) [explaining that requests for relief "are not claims in and of themselves, but types of remedies dependent on the viability and outcome of the underlying causes of action, such as those for breaches of contract and equitable fraud"].) A party seeking specific performance must establish that (1) a valid contract exists, (2) he is ready, willing, and able to perform, and (3) that the balance of equities tips in favor of the party seeking performance. (*Estate of Osborn v. Kemp* (Del. 2010) 991 A.2d 1153, 1158 (*Estate of Osborn*).)

Similarly, under California law, specific performance is a remedy for breach of contract, not a standalone cause of action. (See *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 905; *Shoker v. Superior Court* (2022) 81 Cal.App.5th 271, 283 ["specific performance is a remedy for breach of contract"].) "To obtain specific performance after a breach of contract, a plaintiff must generally show: '(1) the inadequacy of his legal remedy; (2) an underlying contract that is both reasonable and supported by adequate consideration; (3) the existence of a mutuality of remedies; (4) contractual terms which are sufficiently definite to enable the court to know what it is to enforce; and (5) a substantial similarity of the requested performance to that promised in the contract.'" (*Real Estate Analytics, LLC v. Vallas* (2008) 160 Cal.App.4th 463, 472.)

Here, the demurrer has been sustained as to Plaintiff's underlying contractual claims. (See *Addy, supra*, 2009 Del.Ch. LEXIS at * 23.) Moreover, the Complaint is devoid of any allegations regarding the balance of equities. Therefore, Plaintiff fails to allege sufficient facts to state this claim. (See *Estate of Osborn, supra,* 991 A.2d at p. 1158.)

Thus, Defendant's demurrer to Plaintiff's third cause of action is SUSTAINED with 20 days' leave to amend**.**

4. Fourth Cause of Action-Declaratory Judgment

Plaintiff alleges that there is a current and actual dispute between the parties as to whether the Agreement was breached by Defendant. (Complaint, ¶ 41.)

> Delaware courts are statutorily authorized to entertain an action for a declaratory judgment, provided that an "actual controversy" exists between the parties. For an "actual controversy" to exist, the following four prerequisites must be satisfied:
> (1) It must be a controversy involving the rights or other legal relations of the party seeking declaratory relief;
> (2) it must be a controversy in which the claim of right or other legal interest is asserted against one who has an interest in contesting the claim;
> (3) the controversy must be between parties whose interests are real and adverse;
> (4) the issue involved in the controversy must be ripe for judicial determination.

(*XL Specialty Ins. Co. v. WMI Liquidating Trust* (Del. 2014) 93 A.3d 1208, 1216-1217.)

As the Court explained above, Plaintiff fails to state sufficient facts to establish a breach. As a result, Plaintiff fails to allege the existence of a "actual controversy" between to parties to support this claim.

Thus, Defendant's demurrer to Plaintiff's fourth cause of action is SUSTAINED with 20 days' leave to amend.

X. DEFENDANT'S MOTIONS FOR SANCTIONS PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 128.5

Defendants moves for sanctions against Plaintiff and its law firm under Code of Civil Procedure section 128.5 on the grounds that they filed a frivolous Complaint, among other things. (Motion, p. 2:1-10.)

A. Legal Standard

Code of Civil Procedure section 128.5, subdivision (a), provides, "[a] trial court may order a party, the party's attorney, or both to pay the reasonable expenses, including attorney's fees, incurred by another party as a result of actions or tactics, made in bad faith that are frivolous or solely intended to cause unnecessary delay…" (Code Civ. Proc., §128.5, subd. (a).) Code of Civil Procedure section 128.5, subdivision (f), provides, as relevant, "[a]n order for sanctions pursuant to this section shall be limited to what is sufficient to deter repetition of the action or tactic or comparable action or tactic by others similarly situated. Subject to the limitations in subparagraphs (A) and (B), the sanction may consist of, or include, directives of a nonmonetary nature, an order to pay a penalty into court, or, if imposed on motion and warranted for effective directives, an order directing payment to the movant of some or all of the reasonable attorney's fees and other expenses incurred as a direct result of the action or tactic described in subdivision (a)." (Code Civ. Proc., §128.5, subd. (f).) "Frivolous," is defined as "totally and completely without merit or for the sole purpose of harassing an opposing party." (Code Civ. Proc., § 128.5, subd. (b)(2).)

Intention to harass or cause unnecessary delay is measure by a subjective standard. (*Wallis v. PHL Associates, Inc.* (2008) 168 Cal.App.4th 882, 893.) The award of sanctions for a frivolous action under Code of Civil Procedure section 128.5 is within the sound discretion of the trial court. (*Bach v. McNelis* (1989) 207 Cal.App.3d 852, 878.)

The Courts of Appeal have repeatedly cautioned that sanctions should be "used sparingly in the clearest cases to deter the most egregious conduct." (*Wallis v. PHL Associates, Inc.* (2008) 168 Cal.App.4th 882, 893 [discussing sanctions under Code of Civil Procedure section 128.5].)

B. Discussion

A movant must provide the opposing party with a 21-day safe harbor period, "if the alleged action or tactic is the making or opposing of a written motion of the filing and service of a complaint, cross-complaint, answer, or other responsive pleading that can be withdrawn or appropriately corrected." (Code Civ. Proc., § 128.5, subd. (f)(1)(B).)

Here, Defendant served Plaintiff with the motion on July 31, 2025, and filed it with the Court on September 5, 2025, thus, it complied with the safe harbor requirement.

Defendant argues sanctions are warranted here because the Complaint is devoid of any legal merit and falsely asserts facts that Plaintiff knows to be false. (Motion, p. 15:1-9.) On this basis, it contends that the Complaint is sufficient to establish Plaintiff's bad faith. (Motion, p. 18:12-13.) Defendant argues that Plaintiff deliberately distorted the facts and law; tried to pressure it into the purchase of new, devalued stock; and it attempted to sidestep the automatic stay of discovery and responsive pleadings by requesting premature and invasive discovery into Defendant's ability to "satisfy a multi-million dollar judgment." (Motion, p. 19:3-12.)

In opposition, Plaintiff argues there is no basis for sanctions under Section 128.5. (Plaintiff's Opposition ("Opp."), pp. 4:11-5:13.)

A demurrer being sustained does not by itself entitle a party to sanctions under Section 128.5. Defendant asserts that Plaintiff puts forth several arguments are unsupported by the facts and law. The Court agrees that some arguments proffered by Plaintiff are unsupported by the language of the Agreement, such as the assertion that conversion event as contemplated by the parties despite the Agreement being silent on this point. However, it is not persuaded that the Plaintiff's filing of the Complaint was "totally and completely without merit" or "for the *sole purpose* of harassing," Defendant because it appears the Complaint was filed after it concluded that the communications with defense counsel were not meaningful. (See Code Civ. Proc., § 128.5, subd. (b)(2).) Moreover, given the time sensitive nature of the Agreement and the related investment, the Court is not persuaded that Plaintiff's purported rush to file the Complaint illustrates bad faith on Plaintiff's part. Furthermore, while Plaintiff's arguments and interpretation of the Agreement were unpersuasive to the Court, it does not find that they were totally and completely without merit.

Based on the foregoing, Defendant's motion for sanctions is DENIED.

XI. DEFENDANT'S MOTION FOR SANCTIONS PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 128.7

A. Legal Standard

A trial court may impose sanctions under section 128.7 when a "paper": (1) is "presented primarily for an improper purpose" (such as to harass a litigant, drive up the costs of litigation, or cause undue delay), (2) contains a claim, defense, or other legal contention that is not warranted by existing law "or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law," (3) contains allegations and factual contentions that do not have any evidentiary support or are not "likely to have evidentiary support after a reasonable opportunity for further investigation or discovery," or (4) contains denials of factual contentions that are not "warranted on the evidence or . . . are [not] reasonably based on a lack of information or belief." (Code Civ. Proc., § 128.7, subd. (b)(1)-(b)(4).) In other words, in order to prevail on a sanctions motion under § 128.7, a party must show that the other side's papers were brought for a dilatory or obstructive purpose, or are legally or factually "frivolous." (*Guillemin v. Stein* (2002) 104 Cal.App.4th 156, 167 (*Guillemin*); *Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440-441 (*Peake*).) As the Court noted in *Peake*, *supra*, section 128.7, subdivision (d), expressly provides that any sanction imposed "'shall be limited to what is sufficient to deter repetition of [the improper] conduct or comparable conduct by others similarly situated.'" (*Peake*, 227 Cal.App.4th at p. 441 [quoting Code Civ. Proc., § 128.7, subd. (d)].)

In *Peake, supra,* the court noted, section 128.7 "'must not be construed so as to conflict with the primary duty of an attorney to represent his or her client zealously. Forceful representation often requires an attorney attempt to read a case or an agreement in an innovative though sensible way. Our law is constantly evolving, and effective representation sometimes compels attorneys to take the lead in that evolution.'" (*Id.* at p. 441[quoting *Guillemin*, *supra*, 104 Cal.App.4th at pp. 167–168].)

B. Discussion

Defendant argues the Complaint is devoid of any legal merit and false asserts facts Plaintiff knows to be false. (Motion, p. 14:1-9.) As discussed above, the Court does not find that the Complaint was filed to cause undue delay or to harass Defendant.

Plaintiff asserts that the Agreement did not allow for unilateral termination and that it contemplated a conversion event. However, as explained above neither of these assertions are supported by the facts and they are not likely to have evidentiary support after a reasonable opportunity for further investigation or discovery. (See Code Civ. Proc., § 128.7, subd. (b)(3).) Moreover, the assertions are objectively unreasonable. (See *Peake, supra,* 227 Cal.App.4th at p. 440.)

Based on the foregoing, Defendant's motion for sanctions under Section 128.7 is GRANTED in the amount of $15,000 and reasonable attorneys' fees and costs. Defendant is ordered to submit a memorandum in support of the attorneys' fees and costs.

XII. CONCLUSION

Defendants' demurrer is SUSTAINED with 20 days' leave to amend; its motion for sanctions under Section 128.5 is DENIED; and its motion for sanctions under Section 128.7 is GRANTED.

The Court will prepare the order.

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Case Name: *Kevin Anguka v. Timothy Cook, et al.*
Case No.: 25CV472876

This is a shareholder derivative complaint for breach of fiduciary duty.

Before the Court is Defendant Apple Inc.'s ("Apple") motion to seal portions of Plaintiff Kevin Anguka's complaint, which is unopposed.

As discussed below, the Court GRANTS Apple's motion to seal.

IV. MOTION TO SEAL

A. Legal Standard

"The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) There exists an overriding interest that overcomes the right of public access to the record; (2) The overriding interest supports sealing the record; (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) The proposed sealing is narrowly tailored; and (5) No less restrictive means exist to achieve the overriding interest." (Cal. Rules of Court, rule 2.550(d).) Pleadings, in particular, should be open to public inspection "as a general rule," although they may be filed under seal in appropriate circumstances. (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 104, fn. 35.)

"Courts have found that, under appropriate circumstances, various statutory privileges, trade secrets, and privacy interests, when properly asserted and not waived, may constitute overriding interests." (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3 (*Providian*).) Confidential matters relating to the business operations of a party may be sealed where public revelation of the information would interfere with the party's ability to effectively compete in the marketplace. (See *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1285–1286.)

"A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." (Cal. Rules of Court, Rule 2.551(b)(1).)

B. Discussion

Apple moves to seal portions of the Complaint because it contains confidential commercially sensitive information, including its board records and sensitive financial information. (Motion, p. 2: 3-6.)

Apple argues it has an overriding interest in sealing the confidential information referenced in the Complaint. (Motion, p. 3:9-10.) The information includes non-public, commercially sensitive business and financial information, including board materials reflecting strategic business decisions and communications by Apple's Board of Directors regarding business and legal matters. (Motion, p. 3:15-19.) It further argues that its overriding interest will be prejudiced if the redacted information is not sealed. (Motion, p. 4:19-20.) Specifically, disclosure of the redacted information could harm Apple's competitive position by providing insight into internal Board deliberations regarding business and legal matters. (Motion, pp.